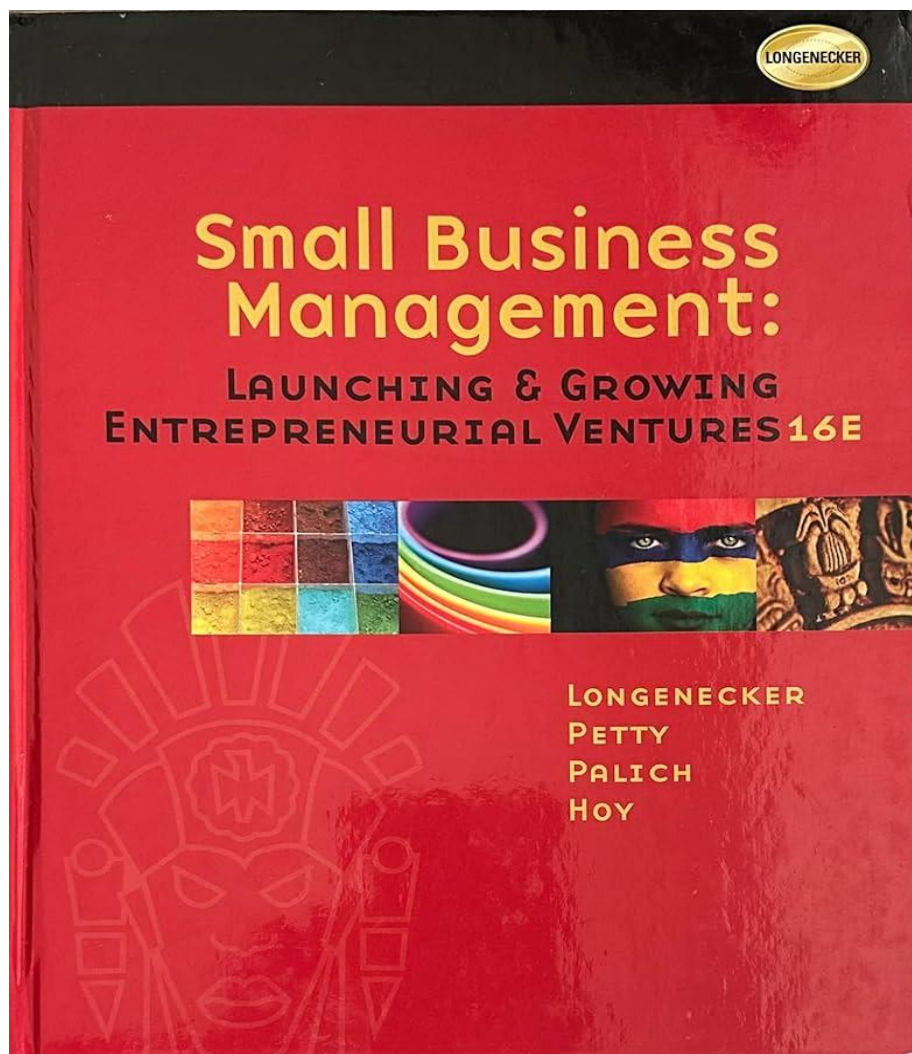




Entrepreneurship and Freelance Work

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Textbook :

*Small Business Management Launching & Growing Entrepreneurial Ventures
16th Edition*

Grading :

- **Attendance:** 10 points
- **Lab:** 30 points
- **Midterm:** 20 points
- **Final Exam:** 40 points

Outline :

- ❑ Definition of Entrepreneurship and Characteristics of Entrepreneurial Projects and Entrepreneurs
- ❑ Theories Related to Entrepreneurship
- ❑ Areas of Entrepreneurship in Technology Projects
- ❑ Stages of Entrepreneurial Business
- ❑ Description and Writing of Entrepreneurial Business Models
- ❑ How to Generate Ideas for Entrepreneurial Projects and Solve Existing Problems
- ❑ How to Transform Entrepreneurial Ideas into Actual Projects
- ❑ How to Build a Complete Operational Plan for the Business and Project
- ❑ Mechanisms for Financing Startups and Entrepreneurs
- ❑ Marketing Startups and Entrepreneurial Projects (Including Marketing Projects through Freelance Platforms)
- ❑ Basics of Freelance Work and Advantages and Disadvantages of Freelance Work
- ❑ Mechanism of Freelance Work Sites and Registration on Freelance Work Platforms
- ❑ Practical Applications on Freelance Work Platforms

➤ Introduction

□ What is Entrepreneurship?

Entrepreneurship is the process of:

- **Identifying** opportunities.
- **Developing** innovative solutions.
- **Organizing** resources to start a new business or improve an existing one.
- **Taking on risks** with the goal of generating profit and growth.

□ Key Elements of Entrepreneurship:

- **Risk-taking** : Facing uncertainty with financial, emotional, and social risks.
- **Vision** : A clear sense of purpose and direction.
- **Resource Management** : Effective use of capital, time, and human resources.
- **Problem-solving** : Addressing market gaps or societal needs with solutions.
- **Innovation** : Creating new ideas, products, or services.

➤ **Management vs. Entrepreneurship**

Key Takeaways :

- **Managers** operate within known boundaries to optimize efficiency.
- **Entrepreneurs** challenge the boundaries to create new markets and opportunities.

Aspect	Management	Entrepreneurship
Definition	The process of organizing and coordinating resources to achieve goals within an established organization.	The process of creating a new business, taking on risks, and pursuing innovative opportunities.
Focus	Stability, efficiency, and optimizing existing operations.	Innovation, growth, and exploring new opportunities.
Risk	Generally low risk, as it deals with established structures and processes.	High risk, involves uncertainty and new ventures.
Approach	Follows established rules, policies, and procedures.	Thinks outside the box, creates new ways of doing things.
Decision-Making	Based on analysis, optimization, and maintaining order.	Based on vision, creativity, and often intuition.
Goal	To achieve organizational goals and maintain growth.	To create, innovate, and capture market opportunities.
Innovation	Focus on improving existing systems.	Core to the business, drives new ideas and markets.

The Contributions of Small Business

- Small Businesses :
 - ❑ Represent 99.7% of all firms with employees.
 - ❑ Employ over 50% of employees in the private sector.
 - ❑ Account for 45% of private payrolls.
 - ❑ Generated 60 to 80% of net new jobs in past decade.
 - ❑ Hire 40% of high-tech employees
 - ❑ Represent 97.3% of all exporters.

Who Are Entrepreneurs?

- Entrepreneurs are :
 - ❑ A person who starts and/or operates a business.
 - ❑ Individuals who discover market needs and launch new firms to meet those needs.
 - ❑ Risk takers who provide an impetus for change, innovation, and progress.
 - ❑ All active owner-managers (founders and/or managers of small businesses).

What Is a Small Business?

- Criteria for Defining Smallness in Business :
 - ❑ Small in size relative to larger competitors (fewer than 100 employees)
 - ❑ Localized business operations (except marketing)
 - ❑ Financing supplied by one person or small group
 - ❑ Has the potential to become more than a “one-person show”

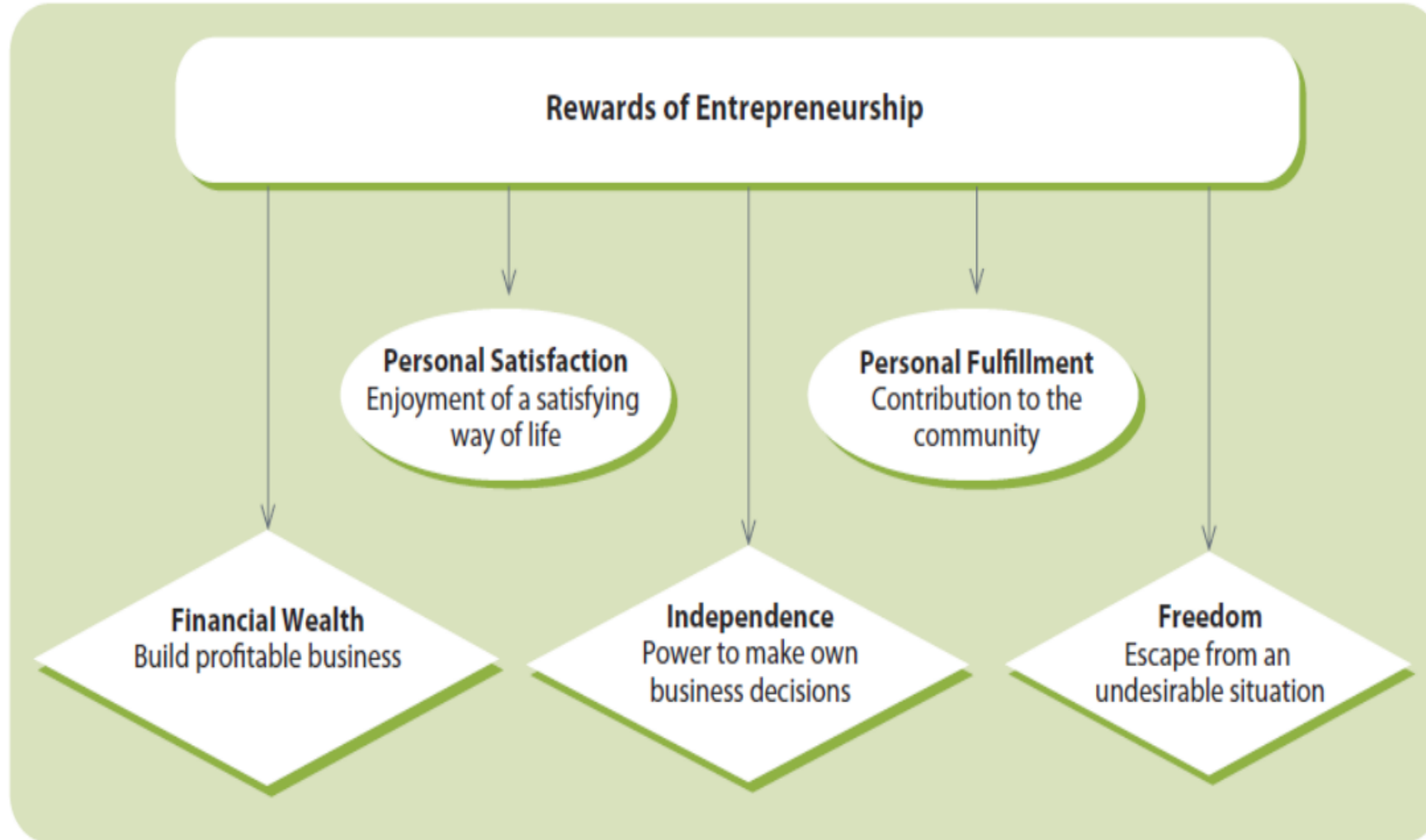
Entrepreneurial Opportunities :

- Entrepreneurial Opportunity :
 - ❑ An economically attractive and timely opportunity that creates value for interested buyers or end users.
- Success Stories :
 - ❑ Ace Hotels (Seattle, Washington)
 - ❑ Late Model Restoration (Waco, Texas)
 - ❑ Five Guys Burgers and Fries (Lorton, Virginia)

So You Want to Be an Entrepreneur:

- Being an entrepreneur :
 - ❑ Is extremely challenging.
 - ❑ Takes undying love and passion to keep going.
 - ❑ Can run in a family.
 - ❑ Can help make the world a better place.
 - ❑ Can make meaning in your life.

Entrepreneurial Incentives :



Why People Become Entrepreneurs :

- Reluctant Entrepreneur :
 - ❑ A person who becomes an entrepreneur as a result of some severe hardship.
- Refugee :
 - ❑ A person who becomes an entrepreneur to escape an undesirable situation.

Is Owning a Small Business a Good Fit for You?

- ☐ Am I passionate about my product or service?
- ☐ What is my tolerance for risk?
- ☐ Am I effective in making decisions?
- ☐ Am I willing to take on numerous responsibilities?
- ☐ Will I be able to avoid burnout?

The Many Varieties of Entrepreneurship :

- Founder (“Pure” Entrepreneur) :
 - ❑ A person who brings a new firm into existence
- “Second Stage” Entrepreneur :
 - ❑ An administrative entrepreneur who oversees the operations of a ongoing business
- Franchisee :
 - ❑ An entrepreneur whose power is limited by the contractual relationship with a franchising organization
- Entrepreneurial Team :
 - ❑ Two or more people working together as entrepreneurs

Small Business Growth Potential and Profits :

- High-Potential Venture (Gazelle) :
 - ❑ Has great prospects for growth
- Attractive Small Firm :
 - ❑ Provides substantial profits to its owner
- Microbusiness :
 - ❑ Provides minimal profits to its owner
- Lifestyle Business :
 - ❑ Permits the owner to follow a desired pattern of living

Artisan Entrepreneurs:

- Artisan Entrepreneur :
 - ❑ A person with primarily technical skills and little business knowledge who starts a business
- Characteristics :
 - ❑ Take a paternalistic approach
 - ❑ Are reluctant to delegate
 - ❑ Use few sources of capital
 - ❑ Have a traditional marketing strategy
 - ❑ Focus on personal sales effort
 - ❑ Have a short planning horizon

Opportunistic Entrepreneurs :

- Opportunistic Entrepreneur :

- ☐ A person with both sophisticated managerial skills and technical knowledge who starts a business

- Characteristics :

- ☐ Broad-based education
- ☐ Scientific approach to problems
- ☐ Willing to delegate
- ☐ Broad view of strategy
- ☐ Diversified marketing approach
- ☐ Longer planning horizon
- ☐ Sophisticated accounting and financial control

Ten Mistakes Made by Startup Entrepreneurs :

- ❑ Overestimate what you can do
- ❑ Going it alone and fail to be a team player
- ❑ Lack an understanding of the market
- ❑ Asking too many people for advice.
- ❑ Spending too much time on product development, not enough on sales.
- ❑ Targeting too small a market.
- ❑ Overpaying for customers.
- ❑ Raising too little capital or too much capital.
- ❑ Hire mediocre people
- ❑ Not having a business plan or overthinking your business plan.

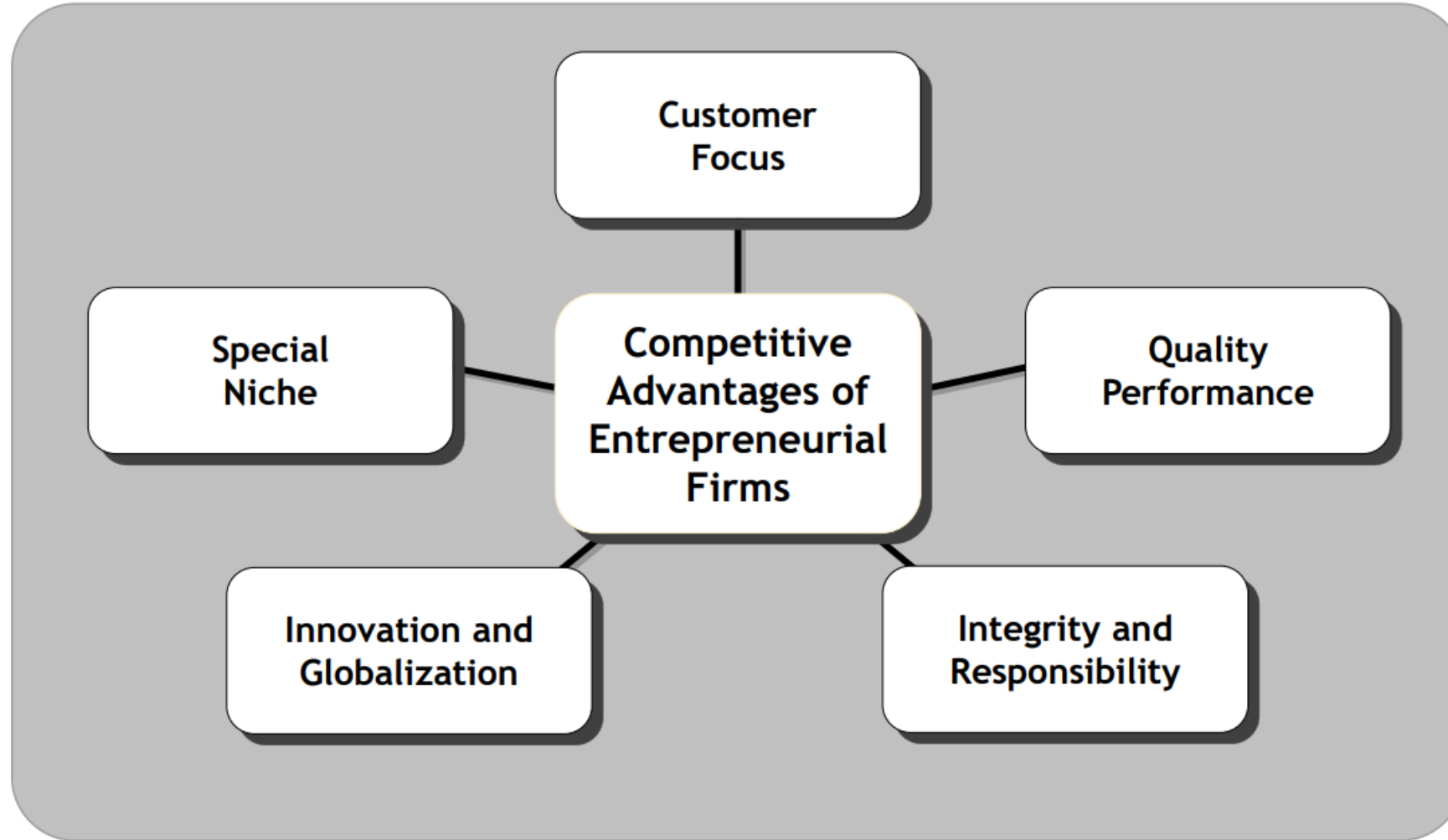
Women Entrepreneurs :

- More Women Entrepreneurs :
 - ❑ More women than men are starting new businesses
 - ❑ Many businesses are now majority female-owned
 - ❑ Movement of women into nontraditional industries
- Problems Facing Female Entrepreneurs :
 - ❑ Discrimination and difficulties related to gender
 - ❑ Lack of access to credit
 - ❑ Lack of networking connections
 - ❑ Balancing work and family life

Entrepreneurial Teams :

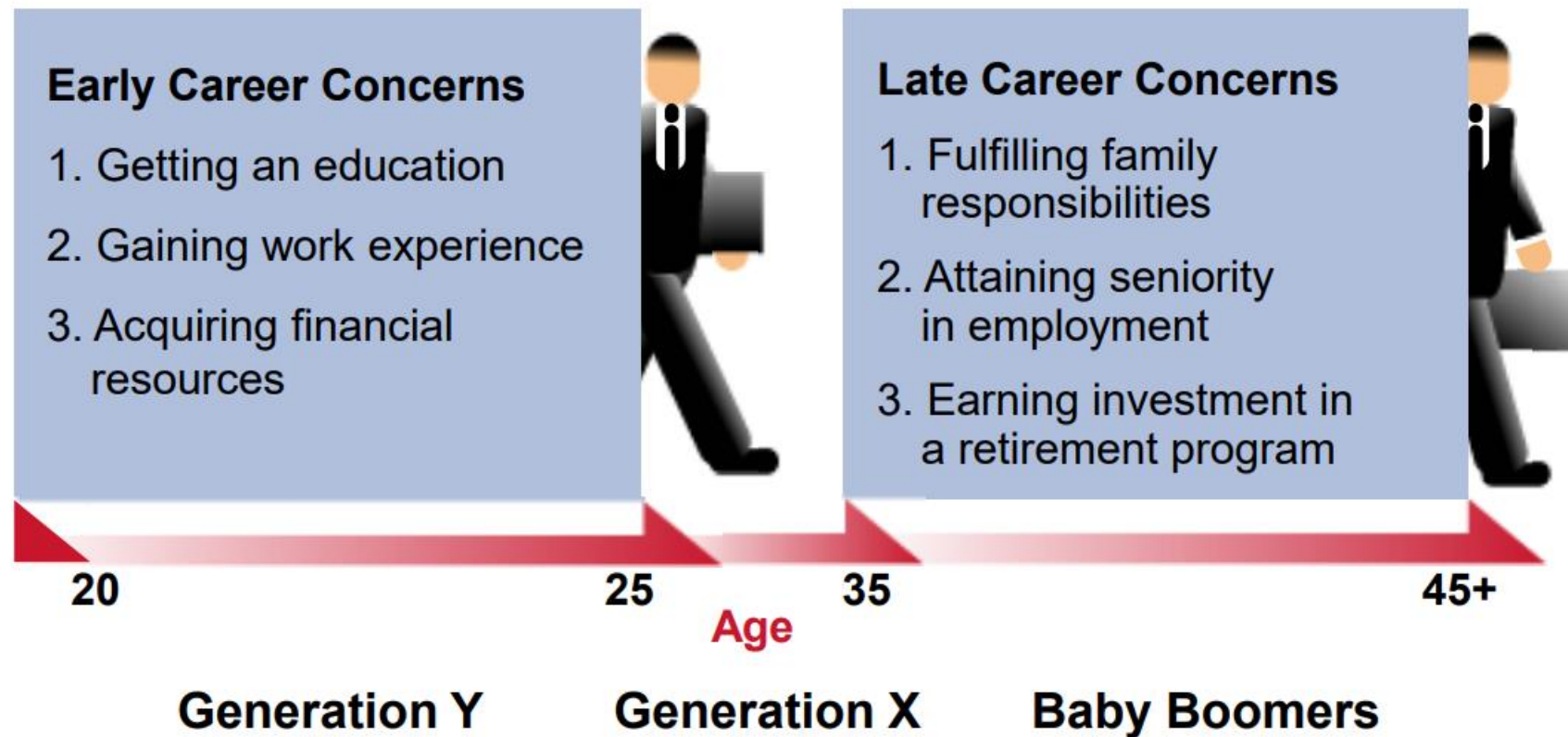
- Entrepreneurial Team :
 - ❑ Is a two or more people who work together as entrepreneurs on one endeavor.
 - ❑ Is becoming more common.

The Competitive Edge of Entrepreneurs :



Getting Started :

- Age and Entrepreneurial Opportunity :



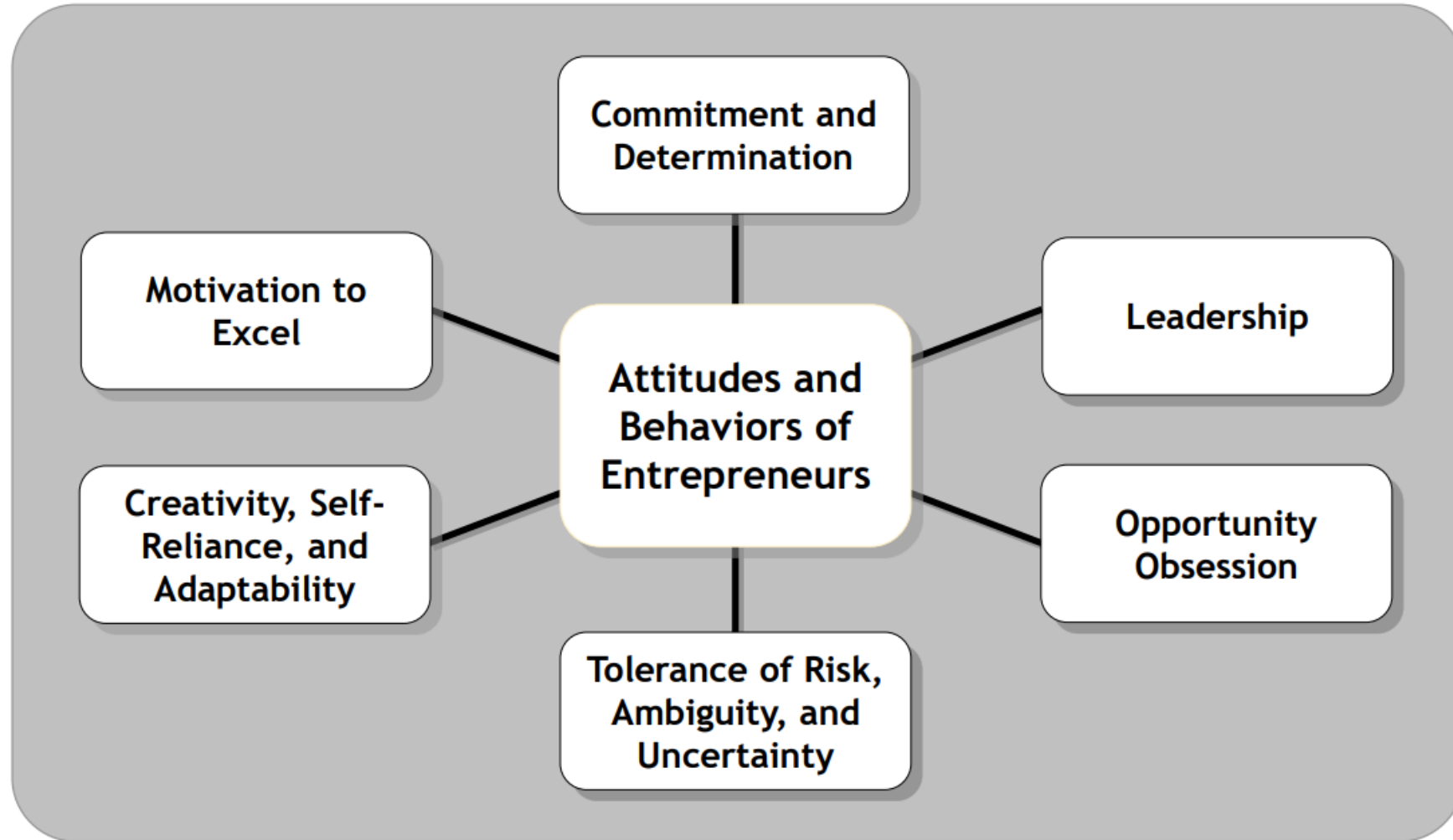
Generation Y Entrepreneurs :

- ❑ Have no fear of technology
- ❑ Are idealistic and optimistic
- ❑ Are more collaborative
- ❑ Build elements of community in the business
- ❑ Start companies while studying entrepreneurship
- ❑ Fail fast, learn a lot, and keep going

Characteristics of successful entrepreneurs :



Entrepreneurial Characteristics (Timmons and Spinelli) :



The Importance of Mentors :

- Mentors :
 - ❑ Are knowledgeable persons who can offer guidance from their experience in a given field.
 - ❑ Teach entrepreneurs what and how to do.
 - ❑ Provide entrepreneurs encouragement when needed.
 - ❑ Show them how to avoid mistakes.

Success in Business and Success in Life :

- Looking Back At An Entrepreneurial Life :
 - ❑ Proper values and actions lead to a good exit.
 - ❑ Evaluating accomplishments
- Winning the Wrong Game :
 - ❑ The nature of the entrepreneurial endeavor reflects personal goals and values.
- Crafting a Worthy Entrepreneurial Legacy :
 - ❑ The tangible items and intangible qualities passed on not only to heirs but also to the broader society.
- Beginning with the End in Mind

Key Terms :

- ❑ entrepreneur
- ❑ bootstrapping
- ❑ small business
- ❑ entrepreneurial opportunity
- ❑ reluctant entrepreneur
- ❑ refugee
- ❑ founder
- ❑ franchisee
- ❑ high-potential venture (gazelle)
- ❑ attractive small firm
- ❑ microbusiness
- ❑ lifestyle business
- ❑ artisan entrepreneur
- ❑ opportunistic entrepreneur
- ❑ entrepreneurial team
- ❑ niche market
- ❑ mentor
- ❑ entrepreneurial legacy